



United States
Attorney's Office
District of Hawaii



Owner of Oahu Physical Therapy Clinic Sentenced to 9 Months in Federal Prison for Health Care Fraud

Friday, February 28, 2025

For Immediate Release

U.S. Attorney's Office, District of Hawaii

HONOLULU – Acting United States Attorney Kenneth M. Sorenson announced that Stephen Timothy Wells, 41, of Waialua, was sentenced yesterday in federal court by U.S. District Judge Jill A. Otake to 9 months of imprisonment followed by 3 years of supervised release for health care fraud. Wells, the owner of Oahu Spine and Rehab, a physical therapy clinic with locations in Kailua and Aiea, pleaded guilty to the charge on September 27, 2024. As part of his sentence, Wells was also ordered to pay restitution to TRICARE, a healthcare program for United States military service members and their families, and Medicare totaling \$392,157.20.

In his plea agreement, Wells admitted that from July 2013 through early 2020, he submitted false claims for payment for physical therapy services to TRICARE and Medicare. Wells used individuals not trained in physical therapy, including massage therapists, athletic trainers, personal trainers, and an individual who had no professional licenses or certifications whatsoever, to provide physical therapy services to patients. Wells admitted that he knew these individuals were not authorized providers and that he could not legitimately bill TRICARE and Medicare for physical therapy services rendered by them, even under supervision. Nevertheless, Wells billed the programs as though the services had been provided by licensed practitioners.

"Tens of billions of dollars are lost to health care fraud each year, robbing Americans of vitally needed quality health services," said Acting U.S. Attorney Ken Sorenson. "Over a nearly seven-year period, the defendant endeavored to bilk our nation's taxpayer-funded TRICARE and Medicare programs out of as much money as possible. He diverted scarce program dollars from military service members and their families, as well as elderly and disabled Americans—some the most deserving and physically and financially vulnerable members of our society. Today's sentence should serve as a warning to those who attempt to cheat our taxpayer funded insurance programs: you will be caught and when you are, a prison sentence awaits."

This case was investigated by the Defense Criminal Investigative Service, the Office of Inspector General of the Department of Health and Human Services, the Federal Bureau of Investigation, and the U.S. Department of Veterans Affairs, Office of Inspector General.

Assistant U.S. Attorneys Mohammad Khatib and Rebecca Perlmutter prosecuted the case.

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HEALTHCARE FRAUD

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